



MANGAL ANALYTICS AND
RESEARCH CONSULTING

Delivering Excellence, Partnering Success.

MARC Insights Indian Gaming Industry

May 2026



Table of Contents

1	Industry Overview & Market Structure <i>Overview of India's gaming market size, industry growth, key gaming segments, and evolving player ecosystem across mobile, PC & console, and esports categories.</i>	(Page 4)
2	Growth Drivers & Monetization Landscape <i>Analysis of the key factors accelerating gaming adoption in India, along with monetization models and user engagement strategies driving industry revenues.</i>	(Page 7)
3	Regulatory Framework & Emerging Technology <i>Assessment of India's evolving regulatory environment, taxation structure, and emerging technologies transforming gaming infrastructure, accessibility, and digital experiences.</i>	(Page 11)
4	Competitive Landscape & Future Outlook <i>Evaluation of leading gaming companies, competitive positioning, investment activity, and long-term growth opportunities shaping the future of India's gaming industry.</i>	(Page 14)

Glossary

Term	Definition
AI	Artificial Intelligence
AR	Augmented Reality
AVGC	Animation, Visual Effects, Gaming and Comics
BGMI	Battlegrounds Mobile India
CAGR	Compound Annual Growth Rate
CTR	Click-Through Rate
GB	Gigabyte
GST	Goods and Services Tax
KYC	Know Your Customer
MPL	Mobile Premier League
NPC	Non-Playable Character
PC	Personal Computer
PROG	Promotion and Regulation of Online Gaming
RMG	Real Money Gaming
SRO	Self-Regulatory Organization
UPI	Unified Payments Interface
VR	Virtual Reality

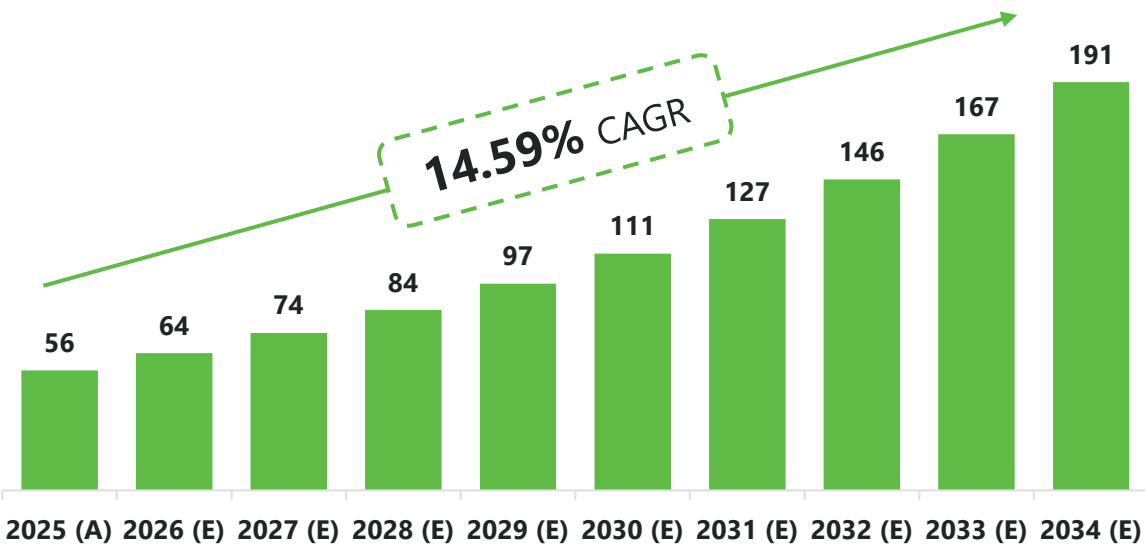
Industry Overview & Market Structure

Overview of India's gaming market size, industry growth, key gaming segments, and evolving player ecosystem across mobile, PC & console, and esports categories.

Industry Overview: Market Size & Growth Trends

India's gaming industry continues to scale rapidly, supported by a 500 Mn+ gamer base and rising digital monetization.

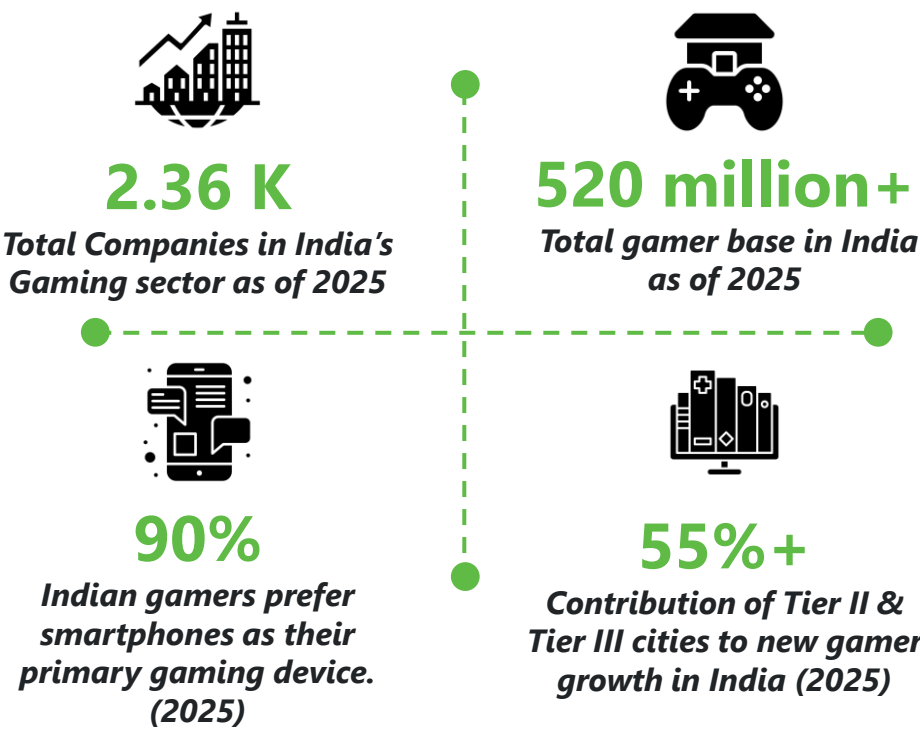
Market Size (In INR Thousand Crore)



Indian gaming industry revenue is projected to grow from INR 56,000 Cr in 2025 to nearly INR 1,91,000 Cr by 2034, driven by mobile gaming, esports expansion, and increasing digital monetization.

Source: [Mordor Intelligence](#), [Imarc Group](#), [Ficci ey report](#), [tracxn](#), [medium](#), [jbi](#)

Indian Gaming Market Snapshot



Key Segments and Gaming Categories in India

India's gaming market is segmented into three major categories: mobile games, PC & console, and esports

Mobile Gaming

- Contributes ~79% of India's gaming revenue, driven by smartphones, affordable internet, and UPI adoption.
- Rapid growth across Tier-2 & Tier-3 cities with expanding 5G access and microtransactions.

PC & Console Gaming

- India's 518M+ 5G users support low-latency cloud gaming experiences.
- Console gaming is growing rapidly, supported by premium devices like the PS5 Pro.

Esports

- South India contributes ~26% of esports revenue, led by Bengaluru & Hyderabad.
- Sponsorships, media rights, and tournaments like BGMI & Free Fire are major growth drivers.

Gaming Market Structure

Casual

Easy-to-learn games with moderate complexity and average session times of 5–15 minutes.

Examples



Candy Crush



Ludo King



8 Ball Pool



Temple Run

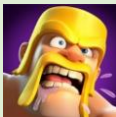
Mid-Core

Strategy-driven games with deeper gameplay mechanics and average session times of 15–30 minutes.

Examples



Free Fire



Clash of Clans



BGMI

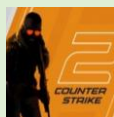


Brawl Stars

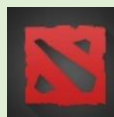
Core

Complex, skill-based games with 1–3+ hour session times.

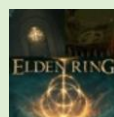
Examples



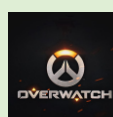
Counter Strike



DOTA 2



Elden Ring



Overwatch

Source: [investgame](#), [IMARC Group](#), [IBEF](#), [Mordor](#)

Growth Drivers & Monetization Landscape

Analysis of the key factors accelerating gaming adoption in India, along with monetization models and user engagement strategies driving industry revenues.

Factors Driving Growth in India's Gaming Industry

Driven by affordable internet, rapid smartphone adoption, UPI-enabled monetization, and a young digital population, India is emerging as one of the world's fastest-growing mobile gaming markets.



Smartphone Penetration

- India is the **2nd largest** market with 750M+ users.
- Budget devices under INR 11,500 make gaming accessible to all.



Esports & Competitive Gaming

- Professionalized by official sports recognition, with a **26.7% CAGR**.
- Projected ecosystem valuation of **INR 9,119 Cr by 2034**.



Localized Content & AVGC Policy

- Government AVGC initiatives and policy support are driving domestic IP growth while positioning Bengaluru and Hyderabad as global gaming hubs.



Affordable Data & Internet

- World-leading data affordability at approx. **INR 12/GB**.
- **5G rollout** across 99% of districts ensures low-latency for professional gaming.



Young, Tech-Savvy Population

- Home to **570M active gamers**, nearly 20% of the global total.
- Rising disposable incomes are driving a surge in premium game subscriptions.



Digital Payments & Monetization

- **UPI transactions** fuel in-app purchases, projected at a **44% CAGR** through FY29.
- Total in-game spending expected to exceed **INR 11,400 Cr** by end of 2026.

Source: [Imarc Group](#)

Gaming Industry Monetization Framework (1/2)

Indian gaming companies monetize through diverse models with freemium and RMG leading revenue, while subscriptions and influencer-led acquisition build long-term retention

Freemium (in app purchases)

- Free games monetize through skins, upgrades, and virtual items.
- BGMI, Free Fire, and Ludo King use this model extensively.
- Large user bases generate strong revenue despite low paying users.



Customer Acquisition

- IPL sponsorships and influencers drive user growth.
- Gaming creators boost downloads and engagement.
- Referral campaigns help reduce acquisition costs.

Ad-Based Revenue

- Revenue comes from ads, rewarded videos, and sponsorships.
- Hyper-casual games rely heavily on advertising income.
- Ad networks help monetize non-paying users effectively.



Subscription Gaming

- Users pay monthly or annual fees for premium gaming access.
- Platforms such as Xbox Game Pass and Steam are expanding the subscription-based gaming ecosystem in India.
- 5G and cloud gaming support future expansion.

Real Money Gaming (RMG) Model

- Companies focus on engagement despite GST challenges.
- Fantasy sports and skill-based games dominate the segment.
- Revenue is earned through entry fees and commissions.



Retention Strategies

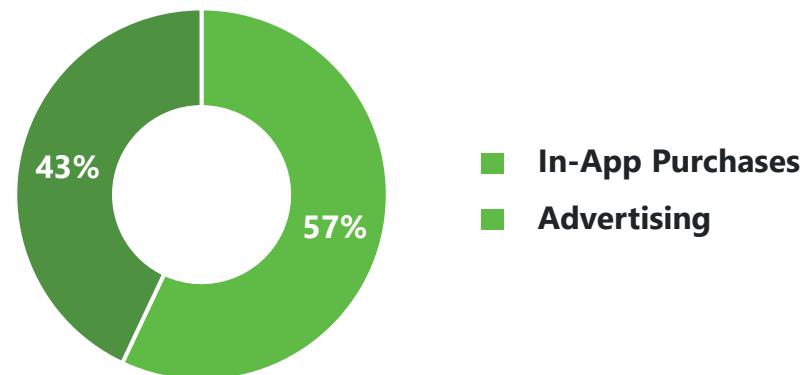
- Rewards, battle passes, and loyalty mechanics enhance long-term player engagement.
- AI notifications help reactivate inactive players.
- Frequent updates keep users interested long term.

Source: [Mordor Intelligence](#), [Economic Times](#),

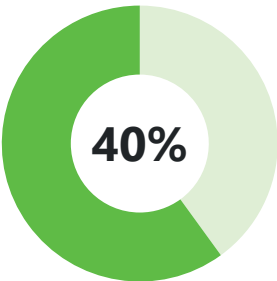
Gaming Industry Monetization Framework (2/2)

India's gaming market is witnessing a shift toward digital monetization, with ~75% of gamers making in-app purchases and over 31% spending INR 1,000+ per month.

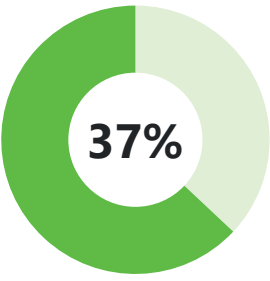
Mobile Gaming Revenue Streams (2025)



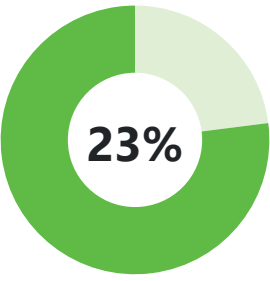
Distribution of In-Game Spending Preference



Battle Passes & Subscriptions



Cosmetics / Skins



Unlockable Content

Advertising Models in Gaming Ecosystems



Banner Ads
Static display ads placed at the top or bottom of gameplay screens, commonly used in hyper-casual gaming formats.



Native Ads
In-game advertisements integrated seamlessly into gameplay to enhance user experience and reduce disruption.



Interstitial Ads
Full-screen ads displayed during gameplay transitions such as level completion, pauses, or loading screens.



Rewarded Ads
Opt-in ads watched in exchange for in-game rewards such as coins, skins, or extra lives, delivering the highest engagement and CTRs.

Source: [storyboard](#), [investgame](#), [IMARC Group](#), [IBEF](#), [Mordor](#), [InfluencerHai](#)

Regulatory Framework & Emerging Technology

Assessment of India's evolving regulatory environment, taxation structure, and emerging technologies transforming gaming infrastructure, accessibility, and digital experiences.

Legal & Regulatory Framework Governing Online Gaming

The Promotion and Regulation of Online Gaming Act, 2025 introduces a unified national framework to regulate online gaming, strengthen consumer protection, and prohibit online money gaming in India.



PROG Act, 2025

- The PROG Act, 2025 establishes a centralized framework for regulating online gaming in India and promoting responsible digital gaming.
- The framework prohibits online money gaming and introduces strict compliance and penalty mechanisms for operators.
- The Act supports the growth of e-sports and online social gaming through registration, user safety safeguards, and grievance redressal mechanisms.



GST on Online Gaming

- Until 21st August 2025, all online games attracted 28% GST on the full face value of bets. Following the PROG Act, 2025, online money gaming was prohibited, removing GST applicability where no monetary consideration is involved.
- Currently, e-sports and educational gaming platforms attract 18% GST on platform fees or service commissions, supporting the transition towards regulated non-monetary gaming ecosystems.



Role of MeitY

- The Ministry of Electronics and Information Technology is the nodal body for online gaming.
- The Online Gaming Intermediary Rules (2023) mandated KYC verification, anti-addiction features, and grievance redressal mechanisms.
- A self-regulatory organization (SRO) framework is under development to reduce direct government oversight of platforms.

Source: [MeitY.gov.in](https://meity.gov.in), [Cleartax](https://cleartax.com), [Razorpay](https://razorpay.com), [PIB.gov.in](https://pib.gov.in) 2024

Emerging Technologies in India's Gaming Ecosystem

AI, 5G, AR/VR, blockchain, and homegrown Indian game studios are reshaping the technology frontier of India's gaming industry



AI in Gaming

- AI improves gameplay, personalization, and in-game operations.
- Features like adaptive difficulty and smart NPCs enhance user experience.
- AI tools also help detect fraud and support KYC compliance in RMG platforms.



5G & Cloud Gaming

- 5G rollout is enabling smoother, low-latency multiplayer gaming.
- Cloud gaming platforms allow users to play high-end games on smartphones.
- This reduces hardware dependency and expands gaming accessibility in India.



AR / VR Gaming

- AR and VR gaming are gaining popularity through immersive experiences.
- VR arcades and interactive gaming zones are attracting young users.
- Faster 5G networks are expected to support future AR/VR growth.



Blockchain Integration

- Blockchain technology enables secure ownership and trading of digital gaming assets, collectibles, and in-game items.
- The technology supports interoperable gaming ecosystems and improves transparency in digital asset management.
- Adoption in India is gradually increasing, although growth remains influenced by evolving regulations around digital assets and online gaming.

Source: [InvestIndia](#), [Juegostudio](#), [VI](#), [IMARC 2024](#)

Competitive Landscape & Future Outlook

Evaluation of leading gaming companies, competitive positioning, investment activity, and long-term growth opportunities shaping the future of India's gaming industry.

Leading Companies in India's Gaming Ecosystem

India's gaming competitive landscape is evolving from single-format gaming platforms toward diversified digital entertainment ecosystems

	Nazara Technologies	Dream 11 (Dream Sports)	Mobile Premier League
Strategic Positioning	Diversified Gaming & Esports Ecosystem	Fantasy Sports Market Leader	Mobile Gaming & Skill Gaming Platform
Core Segments	Esports, Gaming Media, Mobile Gaming, EdTech Gaming	Fantasy Sports & Sports Engagement	Casual Gaming, Skill Gaming
Revenue as of FY25	INR 1,624 Crore	INR 6,759 Crore	INR 1,593 Crore
Key 2025 Strategic Shift	Global expansion through European gaming acquisitions	Transition toward free-to-play sports engagement post Online Gaming Act 2025	Increased focus on overseas gaming markets and profitability improvement
Key Assets / Platforms	Nodwin Gaming, Sportskeeda, Kiddopia, World Cricket Championship	Dream11, FanCode	MPL Gaming Platform

Source: [tracxn](#), [entracks](#), [finology](#), [TOI](#), [medial](#), [news](#)

Future Outlook of India's Gaming Industry

Expanding digital infrastructure, esports monetization, and policy support are expected to accelerate India's gaming industry growth through 2030.



Expanding Market Opportunity

- India's gaming industry is projected to grow at a 14.5% CAGR, significantly outpacing the global gaming market growth rate of 9.4%, positioning India among the world's fastest-growing gaming markets.
- Market expansion is driven by a 14.28% CAGR in mobile gaming and a surge in ARPU across Tier-2 and Tier-3 cities



Growing Gaming Workforce

- The sector currently supports over 100,000 direct and indirect jobs, with a projected requirement for 250,000 professionals by 2030.
- Demand is specifically rising for AI-specialized game developers and quality assurance testers to support domestic IP creation.



Rising Investments & Unicorn Growth

- Institutional funding into Indian gaming startups has exceeded INR 2,800 Cr annually as of early 2026.
- The sector has produced 3 dedicated gaming unicorns, with late-stage venture capital focusing on cloud-based distribution platforms.



Policy & Global Expansion

- The Promotion and Regulation of Online Gaming (PROG) Act, 2025, has boosted investor confidence by establishing clear federal legal categories.
- India's development costs are 30–40% lower than Western hubs, solidifying its position as a leading global outsourcing center.

Source: IMARC, PIB 2024–25



MANGAL ANALYTICS AND[®]
RESEARCH CONSULTING

Delivering Excellence, Partnering Success.

Contact



+91-9359628675



contact@marcglocal.com



www.marcglocal.com



Head Office - 2nd floor, CMM bldg. Rua
de Ourem, Panaji Goa 403001



Mangaluru Office – Vertex, Ajanta Business
Centre, Bejai Kapikad Road, Katlerigudda
Bejai, Kapikad, Mangalore, Karnataka
575004